

Five Steps to Financial Wellbeing

Beyond everyday family life and the costs involved with having and raising your children, the dearest wish of most people who've struggled in their relationship with money is to give their children the gift of financial security. There are two facets to this, the first of which is trying to pass on everything that you've learned throughout these five steps, giving your children access to a solid financial education and being open with them about money and the real role that it plays in our lives. The second is actually building up some savings that you can give to them to help them on their way – and one of the reasons why education and support are so important is that this will affect their ability to handle any money that you are able to pass on to them to start their adult lives.

Practically, one of the best ways to save for your children is with a junior ISA. This is a savings account set up in your child's or children's name, which they will be able to access when they turn eighteen – or a little later on, if you work with them to re-invest it until they're ready to spend it well! You can save up to £9,000 per year without paying tax on any interest or returns that you might gain. Junior ISAs, or JISAs, are available as cash accounts, where you will earn interest but probably not beat inflation, and stocks and shares accounts, where the money is invested and grown. If you start one of these accounts when your children are still young, and invest regularly, your money will have up to eighteen years to grow, maximizing that compounding effect that we discussed earlier and mitigating risk. With investing, your capital is always at